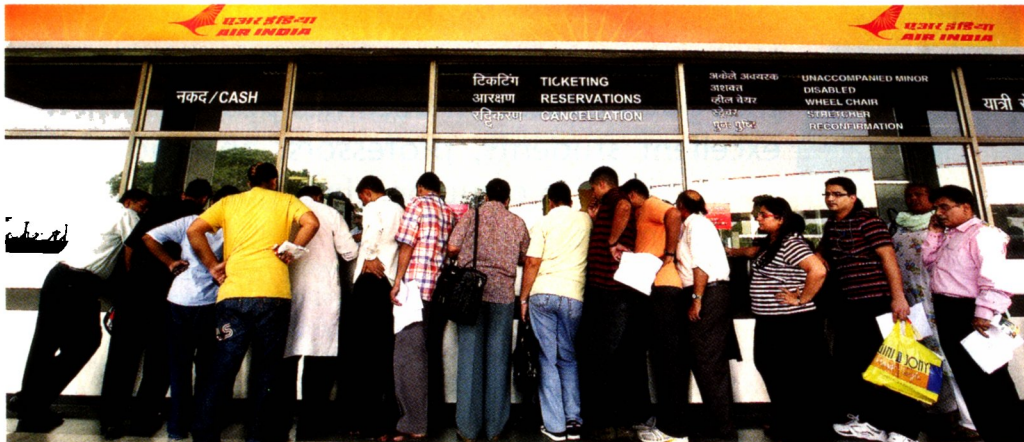


Pilots' incentives rising despite declining profits

	2005-06	2006-07	2007-08	2008-09
Revenue	14,600	14,425	13,519	14,325
Operating Profits	333*	1,815*	4,216	3,149
PLI and Flying Allowances	1,072	1,107	1,321	1,414

Figures in rupees crore; * Pre-merger airlines operating losses



SHEKHAR YADAV

allowances as 260 per cent of the salary," he adds.

The pilots demand that the management sack the 125 expatriate pilots who are being paid as much as \$20,000 per month on time even though. "When there is a recession, foreigners are the first to be asked to leave. Why is it that Air India's own pilots are underutilised and the company has not been paying 31,000 Indian employees their full salaries since July?" asks a senior pilot.

An uneasy truce prevails once the

Air India strike was resolved after Patel stepped in and got the Air India management to blink. The airline has since paid up the dues and agreed to discuss any cuts in PLI with a committee of executive pilots. The truce is unlikely to hold for long because slashing PLIs across the board—for 1,300 Air India pilots—is a measure which is being spoken of as one of the pre-conditions for government relief package for the airline. "Reductions are inevitable. It is a question of the survival of the airline itself," says Air

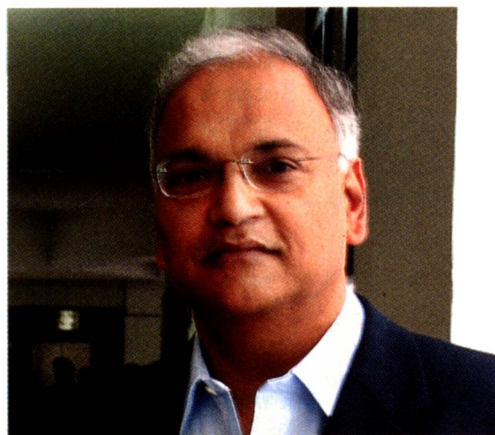
into the civil aviation sector.

In the past 15 years, there has been just one significant strike. No one is clear on just why the number of pilot strikes have come down. Perhaps it was the financial crisis of 2008-09 which derailed the aviation gravy train, leaving airlines more vulnerable to pressure. Others indicate a more subtle shift in the composition of the pilots themselves. "There was a time when pilots flew for the love of flying, but these days it's all about the money. I have seen commanders stealing towels from hotels and forcing themselves on cabin crew in small towns. The flying business has gone completely wild," says a senior official with a private airline. But aviation watchers agree on one thing, an unhealthy precedent has been set. "Disputes which could have been resolved through dialogue have turned into ugly strikes," says Khola.

The pilot strike of 1991 convinced the government to open the skies up to the private sector. It remains to be seen what impact the recent strikes will have on a sector already under tremendous financial pressure because of the economic slowdown. ■

**“ OUR WAGE BILL
is Rs 3,300 cr
OF WHICH PLIs MAKE
UP Rs 1,500 CRORE.
YOU CAN'T HAVE
ALLOWANCES AS
260 PER CENT
OF THE SALARY. ”**

ARVIND JADHAV, CMD, NACIL



PARIKSHIT RAO